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18

ECONOMIC SURVEYS BY THE OECD

UNITED KINGDOM

I . 2 . B . 2.

JULY 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

UNITED KINGDOM

BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	244
Agricultural area (1,000 sq.km.)	199

Major cities (population in millions 1960) :	
London (administrative county)	3.2
Greater London	8.2
Birmingham	1.1
Glasgow	1.1
Liverpool	0.7
Manchester	0.7

THE PEOPLE

Population (mid 1962)	53,301.000
No. of inhabitants per sq.km.	21.8
Net natural increase in population 1957-62 :	
— annual average	293,000
— annual average per 1,000 inhabitants	6

Labour force, June 1962	24,912.000
Employment in manufacturing industries, June 1962	8,852.000

PRODUCTION

Gross national product (at market prices) in 1962 (millions of £)	28,136
G.N.P. per head in 1962 (U.S. $)	1,478
Gross fixed investment (average 1958-62)	
— per cent of G.N.P.	16.1
— per head (U.S. $)	219

Origin of G.D.P. at factor cost (1961).	
— Agriculture	4
— Industry	38
— Construction	6
— Services and distribution	52
Home food production as percentage of total food availability (average 1953-58)	50

THE GOVERNMENT

Public current expenditure 1962 (percentage of the G.N.P.)	17
General Government current revenue 1961 (percentage of the G.N.P.).	32
National Debt 31 March 1961 (ratio to General Government Revenue)	323

Composition of Parliament June 1963:	
Conservatives	365 seats
Labour	255 seats
Liberals	7 seats
Independent	1 seat
Vacant	3 seats

Last general election: 8 October 1959.

LIVING STANDARDS

Calories per head, per day, 1961-62.	3,250
Consumption of energy per head 1961 metric tons of coal equivalent	4.83
Industrial production per head (1961) (average of O.E.C.D. countries = 100)	91
Average weekly earnings of men in industry October 1962	317 s. 3 d

No. of passenger cars in use per 1,000 inhabitants (September 1962)	126
No. of telephones per 1,000 inhabitants (1961)	162
No. of television sets per 1,000 inhabitants (1962)	229
Public current expenditure on education per head in 1961 (U.S. $)	40

FOREIGN TRADE

Exports:	
Exports of goods and services as a percentage of the G.N.P. (average 1958-62)	23
Main exports (percentage of total exports in 1962) :	
Machinery	29
Transport equipment	15
Chemicals	9
Textiles	6
Iron and steel	5
Petroleum products	3

Imports:	
Imports of goods and services as a percentage of the G.N.P. (average 1958-62)	23
Main imports (percentage of total imports in 1962):	
Petroleum	12
Meat	7
Machinery	7
Fruit and vegetables	7
Non-ferrous metals	5
Cereals	5

THE CURRENCY

Monetary unit: pound sterling.

Currency unit per U.S. $ 0.357

ECONOMIC SURVEYS BY THE OECD

UNITED KINGDOM

1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in July 1963

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STATISTICAL ANNEX 39

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UNITED KINGDOM

1. In its last survey of the British economy, the O.E.C.D. discussed some of the reasons why, over the past 10 years, a more satisfactory growth rate had not been achieved.[1] The present year is witnessing a major attempt by the authorities to launch the economy on to a long-term growth trend that will be both smoother and faster.

2. Activity was stationary or declining from the middle of 1961, when it became necessary to restrain the course of home demand. The early months of 1962 saw a renewed upswing in production and a substantial strengthening of the balance of payments. From the second half of the year onwards, however, activity levelled out once more and, at the end of the year, there was a decline, and, at the same time, exports stopped rising. From the mid-year onwards, and particularly from the autumn of 1962, official action began to be taken to stimulate the economy again. And further reflationary measures were taken in the budget in April 1963.

3. The fact that reflationary action was more gradual than many people were urging, resulted, in part, from the difficulty during the summer of 1962 of diagnosing with certainty the way in which the economy was moving. Such diagnosis is never easy and, in 1962, it seems to have been more than usually difficult. But it seems to have resulted also from the Government's judgment that faster growth on a sustained basis, which is now being given greater weight amongst the objectives of economic policy, would be impeded more if an over-rapid expansion of demand had subsequently to be restrained than by a policy of hastening slowly, even if such a policy resulted in undue slack in the economy persisting rather longer.

4. Part I of this Survey describes the way in which the Government has been handling this problem of demand management. Part II summarises the quantitative definition of the objective of faster growth which was worked out by the National Economic Development Office and lies behind the growth target which the Government has now adopted. The remainder of the Survey deals with two questions

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1. *Economic Surveys by the O.E.C.D., United Kingdom.* Paris, March 1962.

which are very important from the standpoint not only of demand management, but also of choosing and achieving a faster rate of growth in the longer term; the disparity between the geographical, industrial and occupational distribution of labour and that which would correspond to the demands on production; and second, the weaknesses in the external payments position of the United Kingdom. Thus Part III deals with the uneven nature of the employment and unemployment situation and the means by which the labour force can be fitted better to needs. Part IV deals with the external position and, more particularly, the significance of the pattern of British exports, and the implications of the fact that large amounts of liquid sterling are held by foreigners.

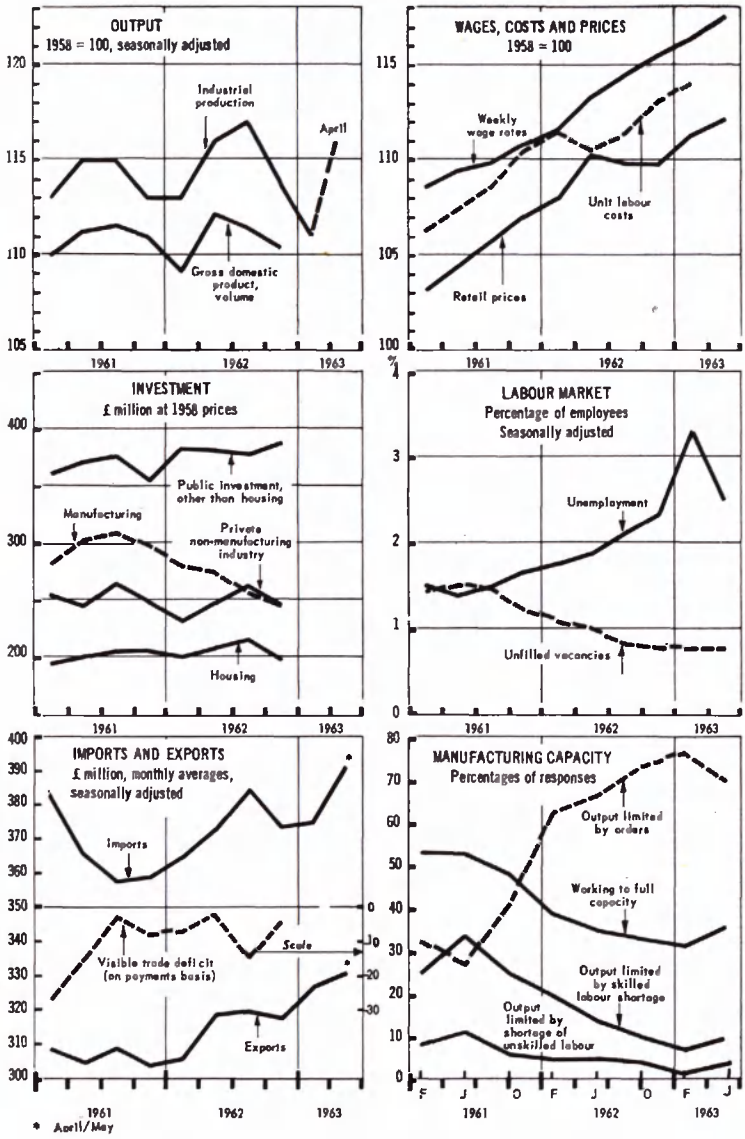
I. THE MANAGEMENT OF DEMAND

5. Although it was a period of comparatively slow growth, the last decade was marked by certain phases during which the rate of advance was extremely fast. These phases were short-lived, because they quickly led to supply bottlenecks for labour and key materials, pressure on costs, and increased demand for imports. For example, reflationary measures were taken between the spring of 1958 and the April 1959 budget, after three years of virtually stable output, and final expenditure on goods and services rose by almost 10 per cent in volume in twelve months.[1] Consumers' expenditure rose by 6 per cent in total, and by 12 per cent on durable goods, and gross fixed capital formation rose by 18 per cent. Though exports increased fast, imports rose faster, and the deficit on the merchandise trade balance — after seasonal correction — began to widen early in 1960. Between mid-1959 and mid-1960, employment in the metal-using industries — whose most dynamic branches are concentrated in the Midlands and the South — rose by 5 per cent, or by an amount equal to a 2.5 per cent increase in employment in manufacturing industries as a whole, whereas the average annual increase in the labour force is only about 0.7 per cent. In the first half of 1960 it became necessary to take a number of restrictive measures — credit and fiscal — in order to moderate the speed of advance and to correct the growing external deficit. A second, and more severe, set of restrictions had to be introduced in July 1961.

6. It is in the light of such experience that the attitude of the authorities since the autumn of 1962 has been shaped. The desire to avoid what is commonly known as a "stop-and-go" approach represents not so much a new attitude as a keener realisation of the difficulties and uncertainties of policies to manage short-term demand trends, the debilitating effects, on management and labour

1. 1st quarter 1959 to 1st quarter 1960.

Diagram 1. ECONOMIC INDICATORS



* April-May.

Source: Monthly Digest of Statistics, N.I.E.S.R. Economic Review, Federation of British Industries.

attitudes, of sharp policy changes, and the consequent need for prudence in encouraging recoveries, lest expansionary measures have to be reversed, rather than moderated, shortly after their inception.

7. From mid-1962 onwards two sectors of final demand — investment and exports — were weakening. Fixed capital formation in manufacturing, which had passed its peak in the third quarter of 1961, continued to decline rapidly as businessmen revised downwards their investment intentions compared with those reported at the beginning of the year. And the rate of inventory accumulation fell sharply in the fourth quarter. Exports, which had increased during the first six months, stopped rising about the middle of the year. And the gross domestic product fell back a little in the second half of the year. Industrial production declined from 116 (1958 = 100) in the third quarter to 115 in the fourth. In January 1963, there was a further sharp fall to 109 largely on account of the effects on the construction industry of the extremely hard weather; by the spring, production had overtaken its level in the fourth quarter of 1962.

8. Parallel with this trend, unemployment rose rapidly and reached 3.6 per cent in February, its highest level since the fuel crisis in 1947. It fell back subsequently, however, and was 2.3 per cent in June.[1] The decline was due primarily to the ending of the bad weather and the resumption of normal working conditions in the building and construction industry; but it also appears that the underlying rising trend in unemployment has now been arrested. The unusually large margin of unused industrial capacity which still existed in early spring, and the degree of under-employment of part of the employed labour force probably imply that quite substantial gains in output can be achieved in the short-run before there is any sizeable decrease in unemployment. This consideration is of importance for gauging the extent to which reflation is compatible with sustained economic growth. And insofar as the stimulus given to the economy remains prudent, the need for active measures to relieve the blacker aspects of regional unemployment is increased — an aspect of the labour market situation dealt with more fully in Part II of this survey.

9. Other indicators of the degree of slack in the economy at the turn of the year were furnished by the National Institute's survey of December 1962 and the enquiry made in February 1963 by the Federation of British Industries which showed that for some months the principal obstacle to achieving higher output had been insufficient orders. The Board of Trade's investment survey, carried out at

1. The figures quoted refer to Great Britain only; in Northern Ireland unemployment also rose rapidly.

the end of 1962, suggested a continued decline in private manufacturing investment expenditure. Capital expenditures by manufacturing industries were estimated to fall by 14 per cent in 1963 compared with 1962, the steepest declines being in the steel and chemicals industries although the motor car industry expected to spend the same amount this year as last, instead of the decline forecast in the survey of the summer of 1962. The distributive and service industries expected to spend 6 per cent less in 1963. There were signs by the summer, however, that businessmen were taking a more optimistic view of future demand prospects.

10. Since the spring, there has been a selective improvement affecting some sectors although it is still too early to speak of a general revival of demand. Motor car sales, particularly on the home market, are rising rapidly and production during the first quarter was 17 per cent higher than a year earlier. New orders received by the engineering industries during the first four months of 1963 were 3 per cent higher than during the same period a year earlier, thus reversing the previous downward trend. Steel production also began to improve in line with these developments. A particularly welcome development lay in the fact that exports increased by 6 per cent in the three months March - May at a seasonally adjusted rate compared with the last quarter of 1962, the first evidence of buoyancy since mid-1962. And, as imports rose more slowly (by 4 per cent), the trade balance improved. There was a surplus of £14 million on the visible balance in the first quarter of 1963 after seasonal ajdustment and a current account surplus of £59 million compared with a deficit of £8 million and a surplus of £36 million respectively during the last quarter of 1962. This trend is of more importance for the future than the loss of £18 million of gold and foreign exchange during February and March — to which should be added £89 million in support provided by foreign central banks[1] sparked off by speculative movements.

11. When it became progressively clearer, during the autumn of 1962, that both home and foreign demand had lost their buoyancy, the authorities began to initiate a series of reflationary measures. These begin with credit relaxations — the remaining special deposits called up by the Bank of England in 1960 and 1961 (part of which had already been released in June) were returned to the commercial banks in October and December and restrictions on all types of bank lending — including lending for hire-purchase finance — were removed; in January 1963, Bank rate was reduced from 4 1/2 per cent to 4 per cent. They were soon, however, reinforced by steps to stimulate consumers' expenditure, with the reduction in November, and again in January, of purchase tax rates so that the maximum rate became 25 per cent instead of 45 per cent. Steps to encourage an

1. Repaid in June 1963.

eventual increase of fixed investment were also taken in November, when investment allowances were raised from 20 to 30 per cent for plant and equipment and from 10 to 15 per cent for industrial buildings — a measure which wouldnot normally have been announced until the 1963 budget. This illustrated the realisation that if short-term demand management is to be sufficiently flexible, it is undesirable that changes should largely be delayed until Budget Day. Further evidence of this realisation was given by the fact that the 1963 budget extended the powers given to the Government two years earlier to change certain indirect taxes by administrative order.[1] Extra capital expenditure by the public sector was also announced; a further £70 million mainly for housing and education were authorised in October for the 18 months up to April 1964, and modest increases were made in public works expenditures, particularly in the North-East. The advance release of £40 million of post-war credits took place in November 1962 and higher unemployment, pension and other social security benefits were announced in February and came into effect in March and May 1963.

12. In short, prior to the budget, the Government took a wide range of comparatively modest expansionary measures. But even these were found likely to fall short, in 1963, of the growth target of 4 per cent agreed by the National Economic Development Council and accepted by the Government. The budget was accordingly designed to provide additional stimulants, and it is now expected that output will rise by rather more than 4 per cent during the current year. In total, the measures taken since mid-1962 are considered to be sufficient to take up as much of the existing slack in the economy as can be re-absorbed this year without endangering continued expansion in the future.

13. Overall budget expenditure is expected to rise by nearly 9 per cent between 1962-63 and 1963-64 — considerably faster than in recent years (Table 1). This acceleration is appropriate given the need for reflation this year; but experience has shown that it is not easy to accelerate expenditure quickly and the whole of this rise is probably not explained by counter-cyclical requirements. The sharpest increase is in "below the line" (mainly capital) items.

14. In addition to these expenditure increases, the budget granted tax concessions amounting to over £250 million, designed directly to stimulate consumer demand. These concessions took the form of higher personal allowances rather than of reductions in rates of

1. In 1961, when the « regulator » was first introduced, its use was made subject to parliamentary approval within 21 calendar days. But this proviso limited the use of the regulator during most of the summer recess, unless it was decided to recall Parliament. Since April last, reductions in indirect taxes, within the limits fixed by the regulator, are subject to subsequent approval by Parliament within 21 sitting days.

tax. As a result, they are heavily concentrated on tax payers with families and other dependents and are likely to have an immediate impact upon consumers' expenditures as soon as they become effective in July (they will be backdated to April). The overall budget deficit is expected to rise to £687 million in the 1963-64 fiscal year compared with £66 million last year. The total swing in the deficit from one fiscal year to another is thus £621 million, or 2.5 per cent of G.N.P.

15. In recent years debt management appears to have been based on the following principles. First, that policy as regards short-term interest rates should be decided mainly in the light of the needs of the short-term capital account of the balance of payments. Second, the object of policy was to create conditions under which the volume of bank credit became subject to official influence without recourse to direct controls. Throughout most of the 1950's the second objective implied funding short-term debt, that is converting it into long-term debt. Experience at the end of the 1950's suggested that, given the structure of bank assets, this was insufficient and, in 1960, a further instrument (the "special deposits") was introduced.

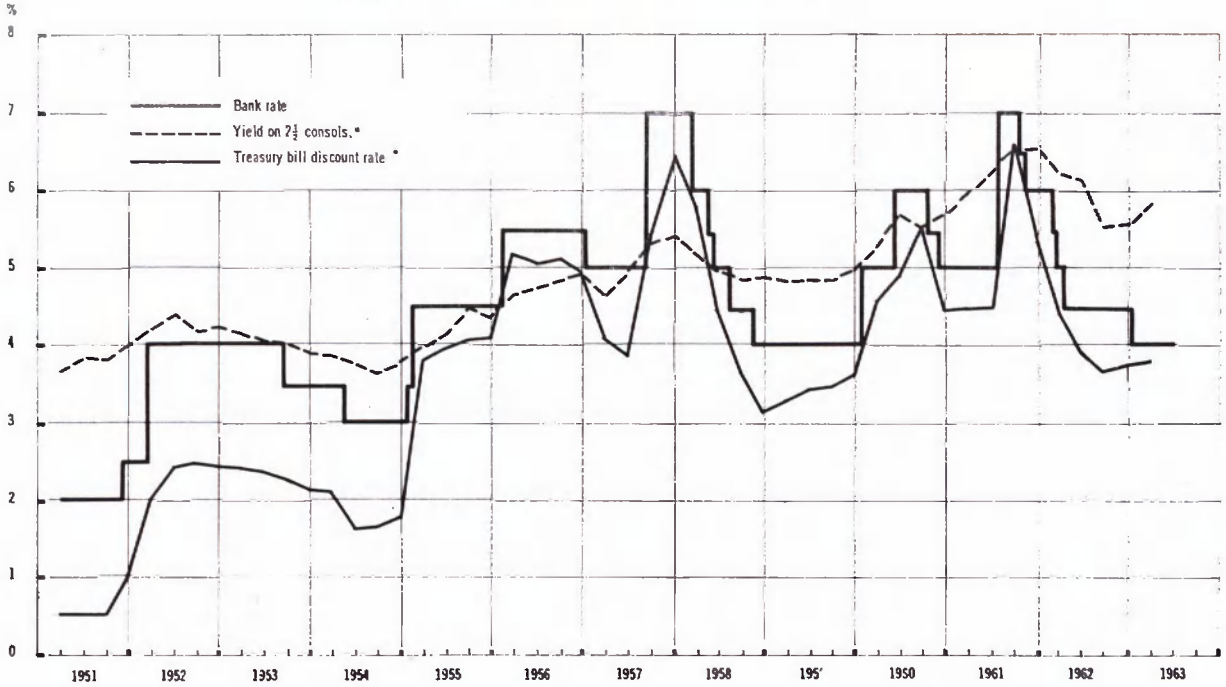
TABLE 1. BUDGET 1963-1964 AND CHANGES 1958-1959 TO 1963-1964

	1963-64 ESTIMATE £ MILLION	CHANGE, 1962-63 TO 1963-64 ESTIMATES		1958-59 TO 1962-63 OUT-TURNS. ANNUAL AVERAGE PERCENTAGE CHANGE
		£ MILLON	PERCENTAGE	
Total expenditure and payments	8,121	+660	+8.8	+5.8
Above-the-line	6,929	+564	+8.9	+6.0
Consolidated Fund	790	+37	+4.9	—1.3
Supply: Defence	1,838	+117	+6.8	+4.7
Civil	4,301	+410	+10.5	+8.3
Below-the-line	1,192	+96	+8.8	+4.5
Total revenue and other receipts	7.434	+47	+6.4	+6.4
Deficit (overall)	687	+613	...	...

Source: Financial Statements.

16. One result of the application of the policies outlined in the preceding paragraph has been a substantial rise in the level of short-term interest rates both on average and, in particular, during short periods associated with restrictive measures designed to halt a rapid decline in the gold and foreign exchange reserves (see Diagram 2).

Diagram 2. INTEREST RATES, 1951-1963



* Average for last month of each quarter.

Source: Financial Statistics, Monthly Digest of Statistics, Annual Abstract of Statistics.

Long-term rates followed short-term rates upwards during the 1950's and, in recent years, the spread between short and long-term rates has widened by about one percentage point (Table 2).

17. A further effect of the policy outlined in paragraph 15 has been to bring about a reduction in the liquidity of the system. Thus, in the early 1950's, the liquidity ratios of the commercial banks were between 37 and 39 per cent and did not return to just over 30 per cent until the end of the decade. During the same period, the potential credit-creating powers of the banks were sharply reduced as the ratio of advances to deposits rose from 27 per cent at the beginning of the decade to 45 per cent at the end accompanied by a sharp fall — from 25 to 16 per cent — in the share of government securities. Other indicators confirm that the economy was becoming less liquid during the 1950's. The ratio of money supply to G.N.P. fell from 49 per cent in 1950 to 27 per cent in 1962. And Treasury bills as a percentage of G.N.P. declined from over 20 per cent to

TABLE 2. INTEREST RATES

	AVERAGES		
	1951-54	1955-58	1959-62
Yield on long-term Government securities[1]	4.2	5.1	5.8
Discount rate on Treasury bills	1.7	4.5	4.4

1. Until 1954, 3 1/2 per cent War Loan.
Source: Financial Statistics, Monthly Digest of Statistics.

TABLE 3. FINANCING OF EXCHEQUER DEFICIT

£ million.

	ANNUAL AVERAGE 1958-59 1961-62	1962-63
Overall financing needs	275	56
met by:		
External transactions	—124	+23
Extra-budgetary funds, note issue and indebtedness to Bank of England	266	—161
Borrowing from public	133	+194
of which:		
— Small savings[1]	261	+145
— Treasury bills	—45	—231
— Long-term securities	—83	+280

1. Including tax reserve certificates, £ 12 million.
Source: Financial Statistics.

11 per cent during the same period. This result reflects essentially the fact that on an average over recent years the financing needs of government have been more than satisfied by receipts from extra-budgetary funds and from small savings so that the outstanding volume of both short and long-term debt in the hands of the public has been reduced (Table 3). In present circumstances it would be neither surprising nor undesirable if part of this year's bigger budget deficit was financed by an increase in the floating debt. The grounds for this conclusion are not only that higher interest rates might frustrate domestic expansion but that, without an increase in the floating debt, the required expansion in the supply of credit needed to support expansion would not be easy to achieve.

II. LONGER-TERM GROWTH

18. When emergency measures to stop the loss of reserves had to be taken in the summer of 1961, the Government underlined the need for a systematic approach to longer-term policy issues. Later in the year the Chancellor of the Exchequer referred to the "need to study centrally the plans and prospects of our main industries, to correlate them with each other and with the Government's plans for the public sector, and to see how in aggregate they contribute to, and fit in with, the prospects for the economy as a whole, including the vital balance of payments".[1] To this end the National Economic Development Council (N.E.D.C.) was set up, consisting of twenty members, including the Chancellor of the Exchequer, the President of the Board of Trade and the Minister of Labour, six members from private business, six trade unionists, the heads of two nationalised industries — the railways and the coalmines — and two independent members. The Council is serviced by an Office (N.E.D.O.), largely staffed by economists and industrial experts drawn from outside the Civil Service, and of which the Director General is a Member of the Council.

19. Soon after its formation, the Council instructed its Office to report upon the implications of an average annual rate of growth of 4 per cent for the period 1961-66, discussing with representatives of both private and public industry the impact that such a growth rate might have on them, and analysing the more general economic implications of faster growth. On the basis of the first part of the study the Council, on 24th January, 1963, approved the 4 per cent growth objective.[2] The government subsequently accepted the target as a general objective of policy. And the April 1963 budget was

1. Letter by the Chancellor of the Exchequer to employers and labour representatives, dated 23rd September, 1961.
2. See « Growth of the United Kingdom Economy to 1966 », H.M.S.O., February, 1963.

presented by the Chancellor as carrying out the Government's share in achieving the target.

20. As a result of the second part of its study the Office put forward for consideration by the Council a study of measures designed to overcome probable obstacles to achievement of the target. The study was amended in the light of discussions in the Council and authorised to be published in April.[1]

21. Very briefly, the Office's industrial enquiry showed that, although growth rates would vary significantly from one branch to another, the industries consulted would in general have no serious difficulties in coping with the demands which would flow from a 4 per cent rate of growth. In some cases, particularly electricity, where present plans were based on the assumption of a notably lower rate of growth, a significant rise in investment plans would be called for. But in certain others, such as steel and motor vehicles, the existing margin of spare capacity did not lead the industries concerned to anticipate any capacity problems, at least during the first part of the 1961-66 period.

22. To help identify some of the more important policy problems likely to be encountered, the Office prepared a tentative macro-economic outline of the supply and use of resources in 1966 (see Table 4) compatible with a 4 per cent growth rate. This clearly has

TABLE 4. SUPPLY AND USE OF RESOURCES IN 1961 AND 1966

£ million (1961 prices) and percentages.

	1961 ACTUAL	1966 ESTIMATED	ANNUAL RATES OF INCREASE
Resources:			
Gross domestic product (at market prices)	26,491	32,230	4.0
Imports of goods	4,006	4,870	4.0
Net imports of services	70	95	
Total Resources = Total uses	30,567	37,195	4.0
Uses:			
Consumers' expenditures	17,336	20,590	3.5
Public consumption	4,570	5,440	3.5
Investment	4,798	6,225	5.3
Exports of goods	3,863	4,940	5.0

Source: Growth of the United Kingdom Economy to 1966.

1. See « Conditions Favourable to Faster Growth », H.M.S.O., April 1963.

to be considered as indicating broad trends rather than precise estimates, but it serves to throw valuable light on the policy implications of the desired growth rate.

23. The salient points emerging from this analysis are as follows:

a) Employment may be expected to rise by 0.8 per cent a year. Achievement of the growth target would therefore require an annual productivity increase of 3.2 per cent compared with 2 1/2 per cent or less in the recent past. It is considered that there are grounds for some confidence that this will be feasible. While the statistical basis is unsatisfactory, the rate of productivity increase has probably been on an upward trend in recent years. The ratio of resources devoted to productive fixed investment rose substantially in 1960 and 1961. Policy is to be aimed at securing a more efficient use of capital and labour than in the past. And the achievement of faster and more regular growth should itself have a favourable impact on the growth of productivity.

b) The recent trend towards a higher ratio of fixed capital formation to G.D.P. is expected to continue. With a faster increase of productivity, and the present degree of spare capacity, many industries foresee a rather slower rise in investment expenditure than in recent years. But part of the public sector — electricity, railways and the Post Office — will need to invest more. And the estimates assume that investment in housing and social and other public services will rise faster than in the past to maintain a proper balance between overall growth and the expansion of social and infrastructure capital.

c) Private consumption will have to rise less fast than G.D.P. — but it would still increase faster than between 1956 and 1961.

d) According to the estimates made so far it appears that achievement of the growth target should not be impeded by an inadequate overall level of savings. Some further rise in personal savings is expected, but there will be a need to raise the savings of public corporations if their investment projects are not to be financed increasingly through the budget. Recent government policy in increasing charges for electricity and post office services are in line with this trend.

e) It will be necessary to take steps to meet the rising demand for skilled labour and make better use of existing manpower through improved mobility.

f) It will not be easy to reconcile faster internal growth with balance of payments equilibrium, despite the forecast of a more moderate growth of imports. It is assumed that government expenditure overseas (including defence) and net private investment will increase compared with recent years. In the light of these considerations, merchandise exports will have to expand faster than the economy in general and the N.E.D.C. document suggests a rate of 5 per cent.

24. The projections in the report imply keeping the growth of private consumption below the rise in total output and the growth of exports above it. The assumptions concerning savings, and the need for them may prove optimistic. And the improvement in the export record will require very close attention to be paid to all elements in the cost situation. This throws into sharp relief the need for all sectors of the community to accept a policy for incomes as an integral part of the arrangements for securing faster growth. Progress towards such acceptance has inevitably been slow. But it is encouraging that the N.E.D.C. has been able to organise tripartite discussions of the problem and that the initial reluctance of the trade union representatives to participate in such discussions has been overcome. In 1962, another body — the National Incomes Commission — was set up to provide impartial, but authoritative, advice on questions affecting incomes, but the trade unions have not so far participated in its activities. The government has now put forward an average target for income rises of 3 to 3 1/2 per cent a year, in place of its previous guiding light of 2 to 2 1/2 per cent, and this would be in line with the 4 per cent target for the growth of output. But these are only the preliminary, albeit the indispensable, steps towards laying the basis for a policy to ensure that British prices are competitive with those of overseas producers.

III. LABOUR MARKET POLICIES

1. The Problem

25. There are two, related, aspects of the problem at issue. First, where the pattern of demand for labour is changing quite fast, it is easier to adapt the structure of the labour supply to changes if the total labour force is rising. Second, where such changes are accompanied by changes in the geographical distribution of demand for labour, the problems of adaptation may be particularly great. Both these considerations are relevant to an analysis of the labour market situation in the United Kingdom.

26. There appears to have been a lower elasticity of the labour supply available for employment in non-agricultural pursuits in the United Kingdom than in most continental countries. The reasons for this lie less in the rate of the natural increase of population — the differences between Britain and the major continental countries are not great — than in different experiences over international labour migration, the possibility of transferring labour from agriculture to other pursuits, and the fact that Britain, unlike many continental countries, had no pool of unemployed labour in the early post-war period.

27. Since the war, immigration has been a major source of additional manpower in a number of European countries (Table 5).

TABLE 5. POPULATION CHANGE BY NATURAL INCREASE AND MIGRATION

Percentages.

COUNTRIES	IMMIGRATION (+) OR EMIGRATION (—) AND NATURAL INCREASE AS A PERCENTAGE OF POPULATION AT BEGINNING OF PERIOD			
	1952-1956		1957-1961	
	NET IMMIGRATION OR EMIGRATION	NATURAL INCREASE	NET IMMIGRATION OR EMIGRATION	NATURAL INCREASE
Belgium	+0.5	+2.4	+0.4	+2.7
France	+0.7	+3.3	+1.8	+3.5
Germany	+2.6	+2.6	+3.1	+3.4
Switzerland	+2.5	+3.7	+5.3	+4.2
United Kingdom	—0.4	+2.1	+0.4	+2.8
United States	+1.0	+7.9	+0.9	+7.7

Source: O.E.C.D. Secretariat.

In the United Kingdom, on the contrary, there was, until quite recently, a net outflow of emigrants, going mainly to Commonwealth countries. Less buoyant development prospects in some Commonwealth countries, such as Canada, and a sharp increase in the numbers of coloured immigrants from other parts of the Commonwealth, turned this net outflow into a net inflow which reached an annual average of 150,000 persons in 1961 and 1962, a figure about equal to half the natural increase in the population. With the Commonwealth Immigration Act 1962 now in force, it is likely that net immigration

TABLE 6. GROWTH OF LABOUR FORCE, AND CHANGES IN EMPLOYMENT IN MANUFACTURING AND AGRICULTURE

Percentages.

COUNTRIES	LABOUR FORCE		EMPLOYMENT IN MANUFACTURING		DECLINE IN AGRICULTURAL EMPLOYMENT AS % OF LABOUR FORCE	
	1950-55	1955-60	1950-55	1955-60	1950-55	1955-60
Belgium	+2.4	—0.4	+2.6	+1.5	—1.6	—1.5
France	...	+0.5	...	+2.8	...	—4.4
Germany	+10.1	+5.8	+24.7[1]	+12.4[1]	—3.2	—2.8
Italy	...	+5.9	...	+26.2[1]	...	—3.2
United Kingdom	+4.1	+2.1	+8.0	+3.0	—0.5	—0.4
United States	+6.4	+6.1	+10.7	—1.4	—1.4	—1.2

1. Including mining and quarrying, construction, electricity, gas and water.
Source: Manpower Statistics, 1950-1960, O.E.C.D. and Secretariat estimates.

will decline sharply once again. The scope for transferring labour from agriculture to other pursuits is limited in the United Kingdom because agriculture only employs some 5 per cent of the labour force as against the 15 per cent or more common on the Continent (Table 6). And unemployment during the 1950's has been low on the average and variations have taken place within narrow limits (between 1.1 and 2.2 per cent of the labour force) whereas, in some continental countries, until recently, unemployment levels were notably higher.

28. Marked differences in unemployment levels as between regions are not peculiar to the United Kingdom; in some other Member countries they are much more pronounced. But, taken in conjunction with a slow-growing labour force, they have represented a brake on expansion and have tended to exacerbate the problem of maintaining a proper balance between increases in incomes and increases in output. Thus although acute labour bottlenecks have appeared at times, particularly towards the end of the short phases of expansion and usually concentrated on certain areas such as the Midlands and the Home Counties where the modern branches of the mechanical and electrical engineering industries are located, this has not been sufficient to reduce the relative disparity between unemployment levels in the more and less prosperous regions (see map and Table 7).

TABLE 7. UNEMPLOYMENT BY REGIONS

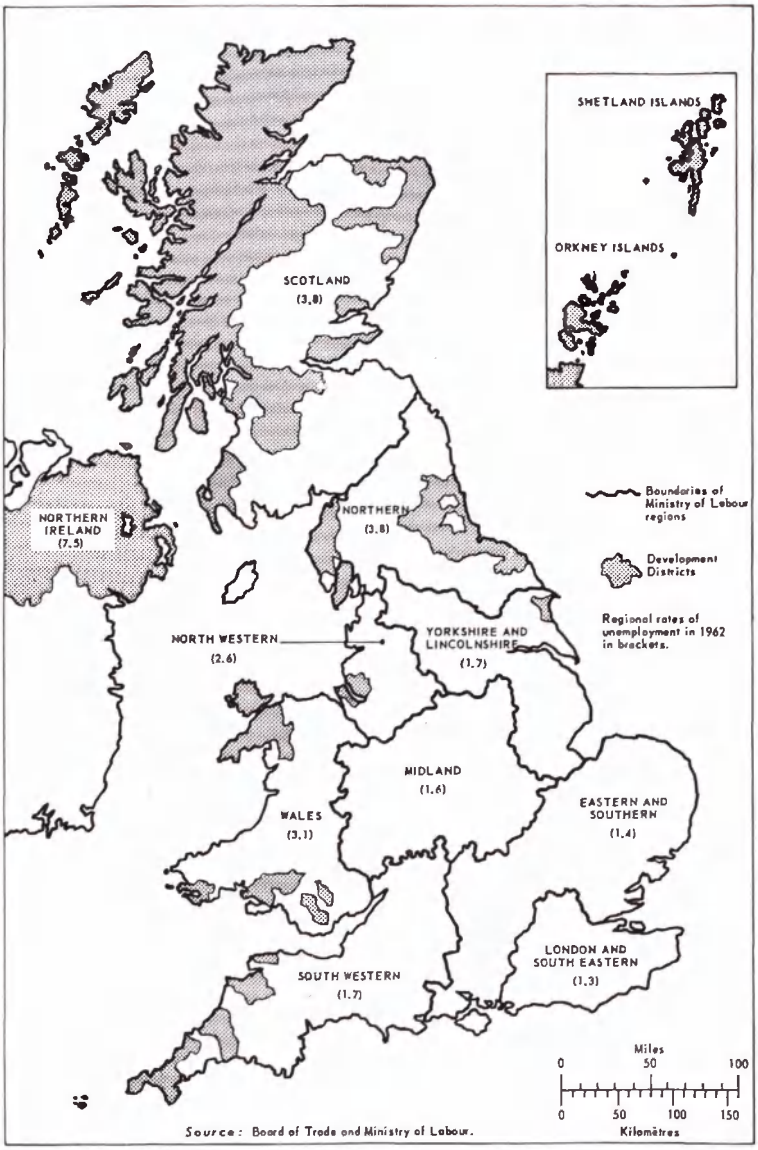
Percentages and annual averages.

MINISTRY OF LABOUR REGIONS	1955-1958	1959-1962	MARCH 1962	MARCH 1963
London and South-Eastern	0.9	1.1	1.2	1.8
Eastern	1.2	1.3	1.5	2.4
Southern	1.2[1]			
South-Western	1.6	1.8	1.8	2.5
Midland	1.1	1.4	1.5	2.6
North Midland	0.9	1.3[1]	1.3	2.5
East and West Ridings	1.0	1.4	1.5	2.5
Total	1.0	1.3	1.4	2.2
North-Western	1.8	2.2	2.4	3.7
Northern	1.9	3.1	3.5	6.0
Scotland	2.8	3.8	3.7	5.7
Wales	2.6	3.1	3.2	4.5
Total	2.2	3.0	3.1	4.7
Total, Gt. Britain	1.4	1.8	2.0	3.1
Northern Ireland	7.4	7.4	8.4	9.3

1. Change of definition: data partly estimated.

Source: Derived from the Ministry of Labour Gazette.

REGIONAL UNEMPLOYMENT AND THE DEVELOPMENT DISTRICTS



Source: Board of Trade and Ministry of Labour.

2. Solutions

29. One way of making better use of the existing labour force is to bring work to the workers in those areas where unemployment is high. Another is to increase the geographical and occupational mobility of the labour force. In any given case, the balance between the two policies has to be decided not merely on economic grounds but on social grounds as well. But it is important, in arriving at decisions, that the cost to industry of moving to distant locations should be given full weight. A third and very important policy need is to ensure both in areas of high and low unemployment, that the level of qualifications of the labour force rises in line with changing demand for increased, and new, skills.

a) *Regional development*

30. Since the end of the war, the Government has been pursuing a policy of the development of industry in areas of more-than-average unemployment. An important weapon used to achieve a better-balanced distribution of industry was a negative one — the Industrial Development Certificate — which has to be obtained by any firm wishing to set up a new factory, or expand an existing one. Although these certificates cannot be used to direct firms to particular locations, applications may be refused — for example, in areas already suffering from labour shortages.

31. More positive encouragement to firms agreeing to move into areas of high unemployment can be granted in the form of grants and loans or the building of factories to rent. The present basis for such grants was set out in the 1960 Local Employment Act which replaced the previous Distribution of Industry Acts, and which defined the areas qualifying for assistance as any which suffered from high and persistant unemployment. The advantage of this system was its increased flexibility; new localised pockets of unemployment could be fitted into the scheme without difficulty as they appeared. It led, however, to some tendency towards fragmentation of the assistance granted and to its spread over a large number of sometimes quite small areas.

32. With the Budget in April 1963, a new more comprehensive policy, where financial stimulants play a larger role, was announced. Until April 1963, the grants received by firms were not fixed in advance but were decided after discussions between each individual firm and the authorities. The new budget, however, standardised grants at 25 per cent of the cost of buildings and 10 per cent of the cost of plant and machinery, thus enabling firms to be sure in advance of the amount of help to be received. In addition, the fiscal treatment of expenditures on new plant and machinery in the areas qualifying for grants under the Local Employment Act (plus Northern Ireland)

was radically changed. From 1st April, 1963, firms in these areas will be able freely to choose their own rate and time-period when calculating their deductions of depreciation for tax purposes. This new measure will no doubt call for a more permanent definition of the areas of high unemployment.

33. Private industry is also to be helped by direct government loans for particularly desirable projects. And government aid to underdeveloped countries, within a limit fixed at present at £10 million, is being tied to the supply of goods which can be produced in the areas of heavy unemployment.

34. Many of the older industrial regions in the north are handicapped by the increasing inadequacy of their infrastructure — housing, transport and social amenities in general. A speeding-up of public expenditure on the roads in the northern areas was announced at the end of 1962. But despite central government grants, the financing problems of the local authorities, when urban renewal schemes were put forward, were in the past often an insuperable barrier to the more ambitious schemes, particularly inasmuch as revenues from local rates were less buoyant than in the prosperous southern regions. To help this problem the Government announced in April 1963 that the level of Government grants for the clearance and rehabilitation of derelict sites in development districts would be raised from 50 to 85 per cent — and to 95 per cent in special cases — for all projects approved before the end of 1963.

b) *Labour mobility*

35. Labour mobility has two related and often inseparable aspects. On the one hand, a change of job can imply moving to a similar occupation in another area. On the other, such a move can imply a change of profession as well; and a similar problem of re-training frequently arises when workers have to change jobs without changing residence. When a change of residence is implied, the gravest obstacle to mobility — apart from social ones — is usually the difficulty of finding suitable housing accommodation. Effective action in this connection will call for changes in public policy towards housing so as to ensure that the volume of new building, its location and the respective shares of houses for rent or for sale are adapted to the needs of a more mobile labour force.

36. The need for re-training facilities for workers whose skills have become redundant as a result of changes in production processes or in demand is likely to increase over the years ahead; and it is unlikely that the problems raised in this connection can be met if the Government does not give a vigorous lead. The total number of redundancies each year is probably not large — perhaps 200,000 persons — but for the moment, information on this point is scanty. The annual

intake of the Government re-training schemes, however, is at present only about 6,000; just over half are disabled workers. Where there is resistance by workers and their trade unions to the introduction of new methods — which constitutes a severe brake upon efficiency in the economy generally — it often springs from fear of unemployment which could be overcome if adequate provisions for re-training were available. It was announced in April last that the Government intends to build additional training centres to provide places for another 6,000 workers.

37. The Government is now discussing with the representatives of the employers and the trade unions new measures to deal on a national scale with redundancy. It is hoped to make specific proposals in this connection by the autumn, and any necessary new legislation will be introduced subsequently.

c) *Skills*

38. The problem of professional qualifications of the labour force and the future demand for skilled labour cannot at present be measured in any but the broadest of terms. The industrial enquiry carried out last year by the N.E.D.C. showed that although most industries did not consider that a 4 per cent growth rate would raise impossible problems as regards the total supply of labour, they feared that difficulties could be experienced in securing adequate supplies of skilled labour. The Ministry of Labour, with the agreement of the British Employers' Confederation, is carrying out the first of a series of annual statistical enquiries into the occupational composition of the labour force in manufacturing industry.

39. Meanwhile, the Government has allocated up to £10 million in 1963 towards the cost of establishing a new system of industrial training boards. These boards will represent a significant departure from previous policy in that they will have the power to impose a levy on all employers within an industry and to make grants to employers providing training of an adequate standard. The previous apprenticeship arrangements organised by industry on a voluntary basis had been criticised both as regards the inadequate numbers of young workers trained each year and the uneven quality of the training given; the slow growth in numbers being trained during the 1950's gives a certain weight to such criticisms (see Table 8).

TABLE 8. BOYS ENTERING APPRENTICESHIPS

Thousands.

1950	1955	1960	1961	1962
92.3	96.7	103.0	114.7	121.5

Source: Ministry of Labour Gazette and National Institute Economic Review.

40. The problems arising out of the need to ensure the required supply of qualified scientists and technicians with the right sort of qualifications are also receiving increasing attention from the authorities. The issues raised are too complex to be dealt with in this survey. But it is relevant to note that these subjects are now seen to be among the indispensable ingredients of a policy for sustained economic growth.

IV. THE EXTERNAL POSITION

41. The performance of the balance of payments of the United Kingdom over the last decade is summarised in Table 9. It is striking to note that during that period, the overall balance of pay-

TABLE 9. BALANCE OF PAYMENTS OF THE UNITED KINGDOM

£ *million.*

	YEARLY AVERAGES		1961	1962	1966 N.E.D.C. PROJECTION
	1953-57	1958-62			
Exports (f.o.b.)	3,085	3,692	3,865	3,988	4,940
Imports (f.o.b.)	3,232	3,831	4,013	4,059	4,870
Visible trade balance	—147	—139	—148	— 71	+ 70
Invisibles	+253	+165	+ 76	+138	+230
Current account	+106	+ 26	— 72	+ 67	+300
Private long-term capital	—132	— 50	+ 86	— 13	—150
Government long-term capital	— 28	—130[1]	— 42	—105	—200
Current and long-term capital accounts	— 54	—154	— 28	— 25	— 50
Errors and omissions	+ 68	+100	+ 48	+128	+ 100
Overall balance = balance of monetary movements (+ = increase in net assets or decrease in net liabilities)	+ 16	— 54	+ 20	+103	+ 50
Net private invisibles	+381	+455	+415	+509	+600
Net government items	—155	—375[1]	—381	—476	—570
Estimated current element in the "errors and omissions" item	+ 60	+ 90	+100	+100	+100

1. Excluding increase of £232 million in I.M.F. quota in 1959.
Source: Balance of Payments White Papers.

ments was on average practically in equilibrium or, in other words, the balance of monetary movements was unfavourable to only a relatively small extent. This implies, inter alia, that the United Kingdom was not adding to its short-term external liabilities during that period. Nevertheless, there has been a succession of disturbing external payments crises (in 1951, 1955, 1956, 1957, 1961) and the Government were compelled to take restrictive action of a kind which has been damaging to the confidence in long-term growth of domestic producers.

42. The N.E.D.O. has analysed the problem of ensuring that the balance of payments is less of a constraint in the future than it has been in the past. The Office's outline of the sort of balance of payments structure which it would be desirable to aim at in 1966 is also given in Table 9. The conclusions drawn by the Office in this connection may be summarised as follows:

a) It is desirable to aim at a small overall balance of payments surplus (of £50 million) taking one year with another, so as to improve the external monetary position (the balance between quick external assets and liabilities). An annual surplus of this size would be consistent with the objective of avoiding in future external crises of a kind which would seriously interfere with economic growth.

b) Achieving an overall surplus of this magnitude would call for a current account surplus of the order of £300 million. It compares with a surplus of £67 million in 1962.[1] A current account surplus of this size (plus £100 million in respect of errors and omissions) would be sufficient to finance a net private long-term capital outflow of £150 million a year and a net export of government capital of £200 million, in addition to the £50 million annual improvement in the balance of monetary movements just referred to.

c) In order to achieve a current account surplus of about £300 million a year a merchandise trade balance surplus of some £70 million will be required. The assumptions behind this estimate are that the improvement underway since 1961 in net private invisible receipts will continue and that it will be possible to limit the future rise in net current expenditure abroad by the government — of which the major share is for defence — to modest proportions. In these circumstances and taking account of a growth of imports of 4 per cent annually — that is, the same as the rate of growth of G.N.P., or a notably more favourable relationship than during the last decade — it is estimated that the required future rate of growth of exports is 5 per cent annually.

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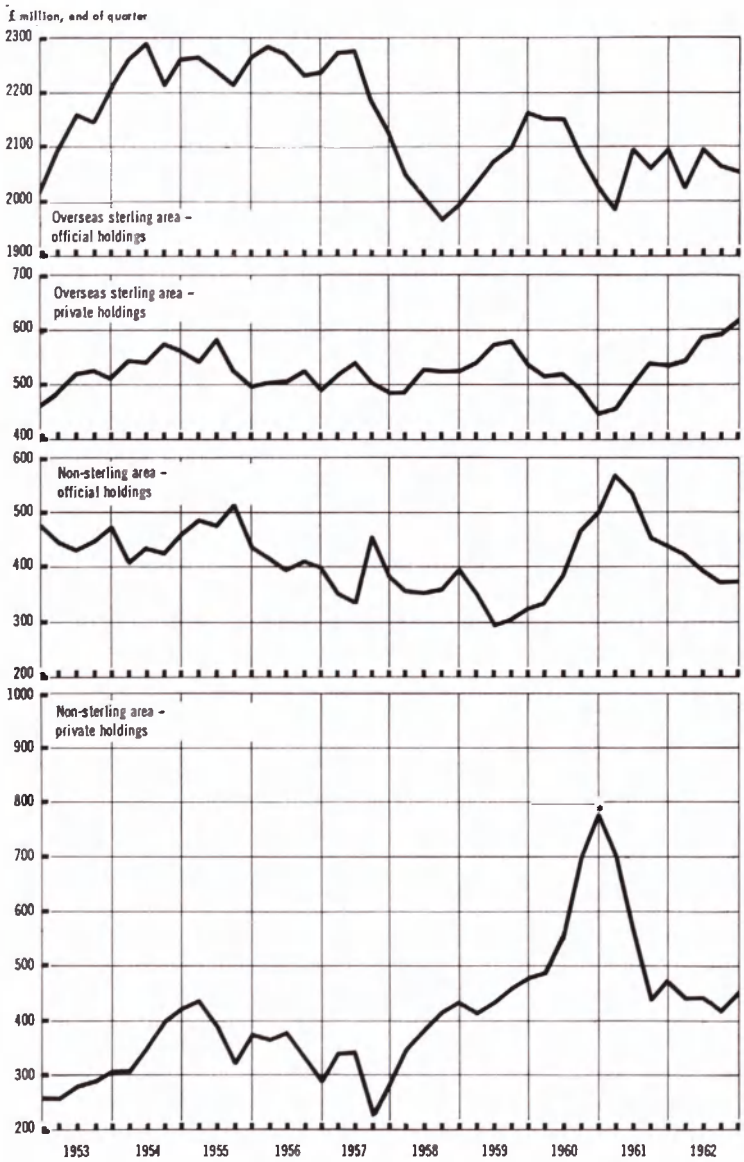
1. As it is estimated that the errors and omissions item (the "balancing item") includes an amount of current receipts of the order of £100 million at the present time, the "adjusted" current account surpluses corresponding to these two figures are £400 million and £170 million respectively.

Diagram 3. OVERSEAS STERLING HOLDINGS, BY AREA AND TYPE OF HOLDER, 1953-1962



Series now discontinued.

* Excluding £131 million held by Ford.

Source: Bank of England.

Clearly these calculations are based upon a particular set of hypotheses regarding future trends in a complex set of economic variables. And the uncertainties of forecasting the balance of payments should also be taken into account when evaluating the NEDO projection.

43. It will not be so easy to secure an improvement in the external monetary position of the United Kingdom without provoking defensive reactions from other countries as it would have been during the 1950's. At that time, most European countries made big additions to their reserves and the United States was content to see its own reserves fall and its liabilities rise, but this large source of additional liquidity will not be available in the future. Furthermore, an average improvement of £50 million a year in the net external monetary position, the balance of payments objective suggested by N.E.D.O., looks small at first sight, given the present ratio of 1 : 2.9 between the official gold and foreign exchange reserves and the sterling balances. This is not a very meaningful ratio by itself, however, and one has to consider the past behaviour of the balances and their composition, on which much new light has recently been shed.[1]

44. More comprehensive figures are now being collected on a gross basis within a narrower definition which aims to include the rest of the world's sterling reserves, working balances and other liquid assets, but not longer-term investments. The make-up of the balances by type of liability and claim is indicated in Table II. It emerges that net liabilities to countries of £2.9 billion at the end of 1962 were made up of liabilities of £3.7 billion and claims of £0.8 billion. Of the net total liability about three quarters was owed to other countries in the sterling area and one quarter to non-sterling countries; and a similar ratio prevailed between the holdings of central monetary institutions and those of private holders, mainly banks. Virtually all these funds were known to be held in liquid or readily marketable form with a high proportion of the former, and the new break-down by type confirms this. Of total (gross) liabilities to countries, 40 per cent is in the form of current and deposit accounts, 27 per cent in U.K. Treasury Bills and 31 per cent in British Government and government guaranteed stocks, nearly all the holdings of the last category belonging to other countries in the sterling area.

45. It is difficult to form a judgment in the light of this analysis alone about the prospective volatility of these funds and hence about the adequacy or inadequacy of the United Kingdom's reserves in relation to them. The reasons for which the different categories of balances are held and their past movements are also relevant.

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1. Article in Bank of England Quarterly Bulletin for June, 1963.

TABLE 10. OVERSEAS STERLING HOLDINGS[1]

£ *million. End-year data.*

	TOTAL	STERLING-AREA COUNTRIES		NON-STERLING AREA COUNTRIES	
		OFFICIAL	PRIVATE	OFFICIAL	PRIVATE
1952	3,219	2,019	463	477	260
1957	3,273	2,126	482	383	282
1958	3,353	1,993	526	399	435
1959	3,507	2,165	539	325	478
1960	3,725[2]	2,029	449	499	775[2]
1961	3,547	2,097	534	440	475
1962	3,501	2,056	619	375	451
1962[3]	2,937	1,759	535	444	199
of which:					
— liabilities	3,773	1,780	853	462	678
— assets	836	21	318	18	479

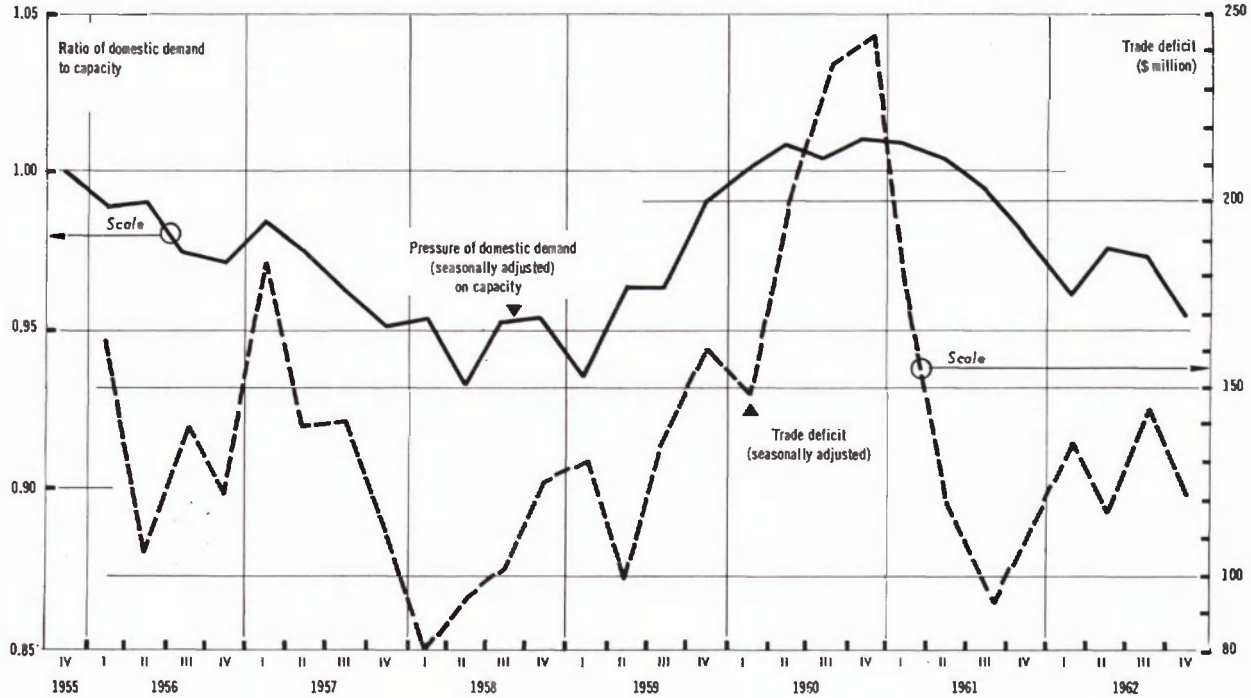
1. Excluding holdings by non-territorial organisations.
2. Excluding £131 million relating to the Ford deal.
3. New series, which is not available for earlier years.

Source: Economic Trends and Bank of England Quarterly Bulletin.

46. Now that they are shorn of funds held for pension, sinking and saving funds and similar purposes, the vast bulk of the holdings of the overseas sterling area countries (£2.3 billion net) consists of funds held as monetary reserves and banking and commercial balances. Hence they tend to rise and fall with the fluctuations in the balances of payments of their owners. But there seems to be sufficient variety in the fortunes of the countries in question for fluctuations in the total to be comparatively modest (see Diagram 3).

47. The balances of the non-sterling countries (£0.6 billion) are held partly as foreign exchange reserves, partly as necessary working balances and partly because the London market affords convenient facilities for short-term investment. They are much more sensitive to speculative considerations and international interest rate differentials. The links between the London and New York financial markets — involving as they do a variety of short-term instruments — are widely recognised. The development during recent years of the well-organised Euro-currency market has added another important alternative outlet for short-term balances. And changing conditions in Continental money markets, particularly in Germany and Italy, can make themselves felt on sterling either directly through shifts of funds into or out of sterling investments, or indirectly through their influence on interest rates in the Euro-currency markets. This situation may at times impose constraint on the freedom of action of the British monetary authorities. But, fortunately, it may be

Diagram 4. THE TRADE BALANCE AND PRESSURE OF DOMESTIC DEMAND



Source: O.E.C.D. General Statistics, Secretariat estimates.

doubted whether the domestic economy is very acutely sensitive to adjustments of moderate dimensions in monetary conditions at the short end of the market. And, in any case, the United Kingdom authorities have been seeking to develop new techniques which to some extent may insulate domestic interest rates from those most relevant for international arbitrage.

48. The balances of all countries together have moved within a range of about £3.2 to 3.7 billion[1] over the past decade. And the fact that the total was scarcely different at the beginning and at the end of the period, even though there are now no restrictions on the freedom of the holders to convert them, suggests that most balances are in the hands of willing holders.

49. The sterling balances are far and away the largest element of the United Kingdom's net overseas indebtedness at short-term. There are, however, other external short-term liabilities; sterling deposited direct with local authorities and finance houses by overseas residents amounted to about £175 million at end-December 1962, net banking liabilities in currencies of the overseas sterling area countries to £80 million and in currencies of non-sterling countries to about £100 million. Gross liabilities of the latter kind are, of course, covered either by similar claims or by forward exchange purchases. Allowing for the current element, the errors and omissions item in the balance of payments does not suggest that unrecorded short-term liabilities have been accumulated on any significant scale over the last decade, though " leads and lags " in the terms of payment could naturally cause temporary movements in the future as in the past. On the other hand, there are also net commercial assets owned by the United Kingdom, e.g. as commercial credit and inter-company balances, which are not strictly within the monetary sphere but which lend an element of strength to it.

50. Better management of domestic demand in future — as described in Section 1 of this report — should have the effect of reducing the fluctuations in the balance of payments caused by too brusque changes in the internal demand and supply situation in the last decade (see Diagram 4). Nevertheless, the existence of this large short-term overseas indebtedness does make the pound sensitive to doubts about United Kingdom economic policies in a much more acute fashion than is the case for most other currencies. In itself, it is no bad thing that a country's policies should be under constant scrutiny in this way. And, in practice, the resources which can be mobilised to defend the pound are very substantial. Thus, in addition to the official gold and foreign currency reserves, which at present stand at about $2.8 billion, the United Kingdom has at its disposal its drawing rights on the International Monetary Fund (about $2.5 billion). And more recent forms of Central Bank co-operation provide

1. Excluding the effects of the Ford transaction.

Table 11. STERLING BALANCES BY TYPE OF LIABILITY AND CLAIM

£ million.

END OF PERIOD 1962 DECEMBER	U.K. LIABILITIES					U.K. CLAIMS			
	CURRENT AND DEPOSIT ACCOUNTS	U.K. TREASURY BILLS	COMMERCIAL BILLS AND PROMISSORY NOTES	BRITISH GOVERNMENT AND GOVERNMENT GUARANTEED STOCKS	TOTAL	ADVANCES AND OVER-DRAFTS	COMMERCIAL BILLS AND PROMISSORY NOTES	ACCEPT-ANCES	TOTAL
Overseas sterling countries	823	663	32	1,115	2,633	228	83	28	339
Non-sterling countries	690	352	34	64	1,140	109	239	149	497
Total countries	1,513	1,015	66	1,179	3,773	337	322	177	836
of which:									
Central monetary institutions	258	944	—	1,040	2,242	39	—	—	39
Others	1,255	71	66	139	1,531	298	322	177	797
International organisations	13	590[1]	—	3	606	—	—	—	—
Total	1,526	1,605[1]	66	1,182	4,379	337	322	177	836

1. Includes non-interest-bearing notes: 1962 December 535. 1963 March 532.

Source: Bank of England Review, June 1963.

substantial short-term credit lines as well ($250 million were secured in this way in February and March of this year and a standby swap facility for $500 million has recently been arranged with the United States). Moreover, the government holds a portfolio of North American securities valued at about $1 billion. In consequence, the United Kingdom authorities are reasonably proof against having to bow to *unjustified* doubts about their policies or having to take justified corrective action in too hasty a fashion.

51. It remains, nevertheless, that the first need at the present time is to raise the rate of growth of British exports to the level necessary to achieve the objectives which the N.E.D.O. has outlined and which, as far as the 4 per cent overall growth rate is concerned, the Government have accepted.

52. During the past decade, merchandise exports from the United Kingdom — which are made up almost entirely of manufactured goods — rose less than half as fast as world trade in manufactured products. If British exports are to rise by 5 per cent annually, they will have from now on to maintain their existing share in the world total, particularly if world trade in manufactured products rises rather less rapidly in the next few years.

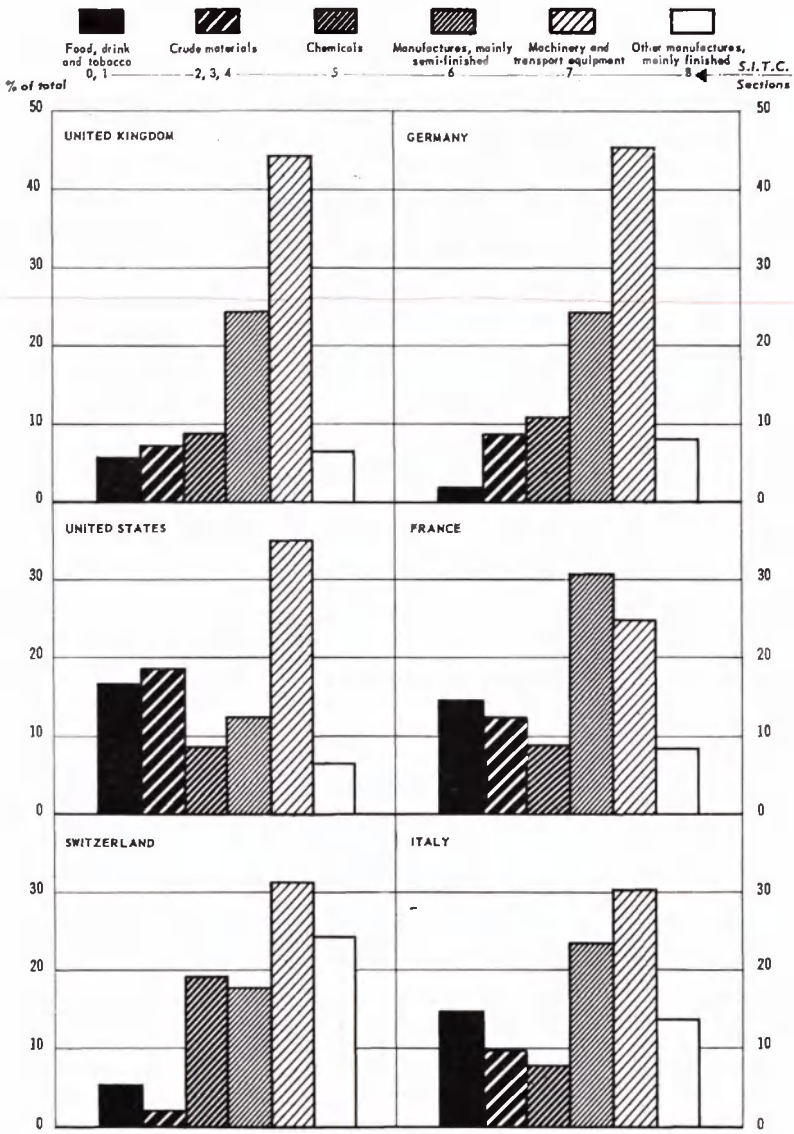
TABLE 12. UNITED KINGDOM'S SHARE OF WORLD EXPORTS OF MANUFACTURES

YEAR	SHARE	YEAR	SHARE
1954	20.1	1958	17.8
1955	19.3	1959	17.3
1956	18.8	1960	15.9
1957	17.9	1961	15.7
		1962	(15.2)

N.B. Eleven main exporters.
Source: Board of Trade Journal.

53. The share of the United Kingdom in world exports of manufactured products fell from over 20 per cent in the early 1950's to 15 per cent in 1962. The loss of market shares has been more pronounced in sterling area markets than elsewhere, falling from 58 per cent in 1954 to 43 per cent in 1961. The United Kingdom's share of continental O.E.C.D. markets during the same period fell from 16 to 12 per cent. In North and Latin America, British exporters retained their share of the market in the period under consideration. This was probably helped by the fact that the comparative competitive positions of Canada (on the U.S. market) and of the United States (in Latin America) were deteriorating more rapidly than that of the United Kingdom.

Diagram. 5. THE STRUCTURE OF EXPORTS IN CERTAIN INDUSTRIALISED COUNTRIES IN 1961



Source: O.E.C.D. Foreign Trade Bulletins.

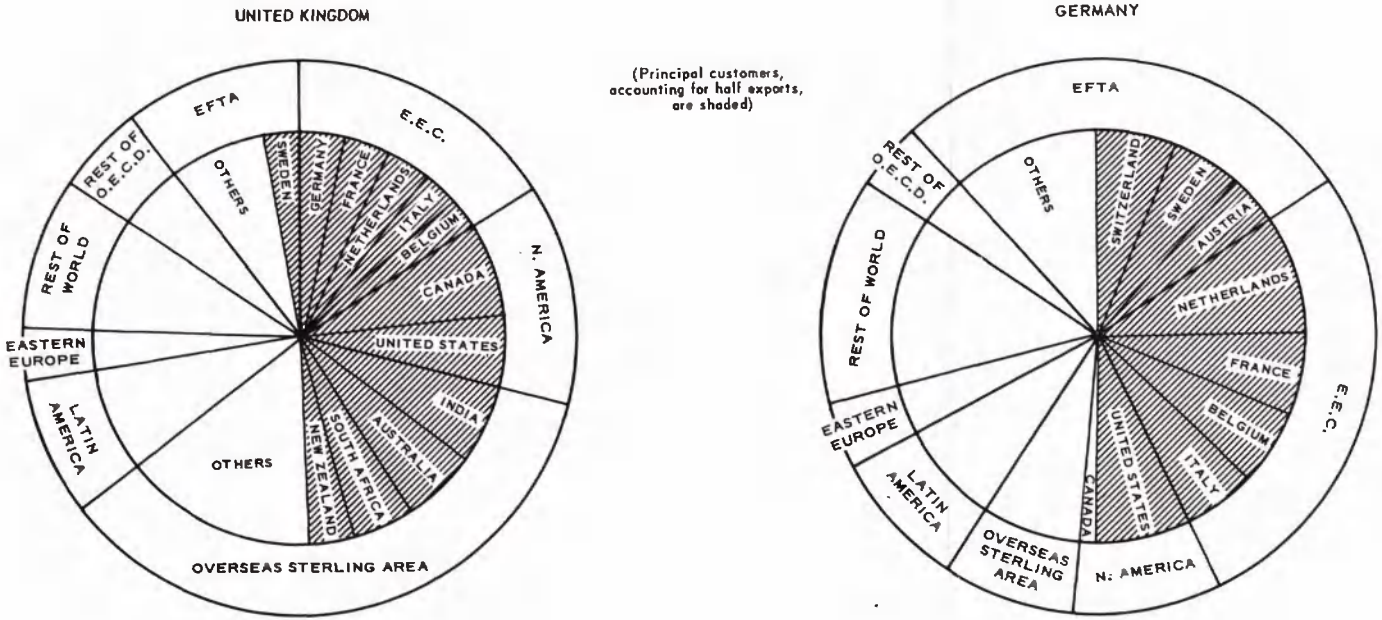
54. Unlike that of most O.E.C.D. Member countries, the essence of the British export problem can be discussed in terms of manufactured products, which make up 84 per cent of the total. And, inside the group of manufactured products, the engineering industries now supply over one-half compared with only about 25 per cent pre-war. At the present time, the country whose commodity structure most resembles that of the United Kingdom is Germany (see Diagram 5). And in both cases, over 90 per cent of engineering exports are capital goods.

55. But the markets on which they are sold differ markedly (see Diagram 6). Over 50 per cent of Britain's exports of engineering products are sold to eleven countries of which only the five smallest are in Western Europe — despite the very considerable rise in the share of Western Europe in Britain's exports over recent years (Western Europe now takes as large a part of British exports as the sterling area). In the case of Germany, on the contrary, eight countries absorb 50 per cent of its engineering exports and all but one — the United States — are on the Continent of Europe. Consequently, the investment demand of less-developed (or more recently industrialised) countries outside Europe is still of more importance for the growth of Britain's exports than for Germany's. And this is sometimes held severely to handicap the British balance of payments, on the grounds that a relatively large part of United Kingdom exports are traditionally marketed in the slower-growing countries.

56. There may have been certain special reasons which help to explain why Britain's export performance since the war has not been better; for example, the dominant position of British exporters on sterling area markets immediately after the war may have made them particularly vulnerable to renewed competition from other industrial countries. And for part of the 1950's discriminatory measures, notably quotas, in favour of U.K. exporters were being progressively removed. But it does not appear from past experience that either the market or the product structure of British exports has been a major factor in explaining the decline in the United Kingdom's share of world exports of manufactures. Considerations of competitiveness generally — price, delivery dates, aggressive selling and servicing — have surely been more directly responsible. And this points to the urgent need to maintain and, if possible, to improve Britain's competitive position on world markets from now on if a substantial rise in exports is to be achieved. The available capacity — in manpower and plant — to supply additional exports now exists, and government policy aims at securing expansion whilst avoiding a return to excess demand conditions at home. And if a proper relation between output and incomes can be established, British exports should be able to benefit progressively from the faster rise in productivity which, it is hoped, will be brought about by a smoother rate of economic growth.

Diagram 6. EXPORT MARKETS FOR MACHINERY AND TRANSPORT EQUIPMENT: UNITED KINGDOM AND GERMANY

PERCENTAGES OF TOTAL EXPORTS, S.T.I.C., 7, IN 1961



Source: O.E.C.D. Foreign Trade Bulletin.

V. CONCLUSIONS

57. The United Kingdom authorities have for the first time now defined a quantitative growth objective — 4 per cent a year on average. This provides a new criterion for judging their management of the balance of supply and demand. They expect the measures to stimulate domestic demand which they took from the autumn of 1962 to the spring of this year to produce a rise in total demand during the year of rather more than 4 per cent. Given the measure of spare capacity and unemployment with which the year began, this implies that the return to a fuller utilisation of capacity and labour will not have been completed until sometime in 1964. The decision to accept this reflects an awareness that the expansion of demand is a cumulative and self-propelling process in which there are certain ineluctable time-lags. A stimulus of the size needed to restore full capacity working this year would be almost certain to set in train processes which would lead to excessive demand in later years. Moreover, one of the categories of domestic demand which it is most important to encourage — investment demand — is one which tends to receive its stimulus fairly late in such a cumulative process and so would be particularly liable to be squeezed out by an excessive stimulus to consumer demand in 1963. Moreover, it is obviously important to ensure that the capacity to meet reviving export demand is not pre-empted. In the light of such considerations, it is difficult to quarrel with the judgment of the United Kingdom authorities.

58. Good management of demand is a necessary but not a sufficient condition for growth. This is partly a question of achieving a better co-ordination of the types of expenditure over which the Government itself has more or less direct control, and of gearing them in to the requirements of a 4 per cent growth rate. And it is partly a question of action designed to obtain the optimum yield from the manpower resources available to the economy — measures to improve labour mobility, regional development schemes to smooth out the present uneven pattern of employment, and further training facilities. But it is very largely a question of persuading management in the private sector, and organised labour, to take decisions in individual cases more in the light of the national interest than has heretofore been the case. And the first task is to determine jointly, with both sides of industry, where the national interest really lies. Hence the importance of the work of the National Economic Development Council, in formulating the general broad quantitative forecasts of what is feasible for the economy in the next few years, and in associating the representatives of labour and management with this formulation. It is part of the task of the N.E.D.C., with the general agreement not only of all its individual members, but of the bodies from which they are drawn, to delineate the broad proportions in which capital expenditure in particular sectors should be made, and the scope for increase

in money incomes. And in support of this general role, the National Incomes Commission has an important part to play in advising on the appropriateness of specific income adjustments.

59. Achievement of a 4 per cent growth rate and, simultaneously, maintenance of a strong foreign balance will not be easy. If the desired growth rate leads to temporary external deficits, the international liquidity facilities open to the United Kingdom in the shape of its own reserves and the various intergovernmental arrangements now in existence should prove adequate to relieve the situation. But these arrangements would not permit the United Kingdom to run a continuing deficit. Thus, if the desired growth rate is to be maintained, an important break-through in exports is essential and this will not be easy to achieve. It is very doubtful whether world trade will expand significantly faster in the middle 1960's than it has done in recent years. And the problem may be further exacerbated by the development of the Common Market, if this tends to develop in a way more favourable to the members of the Market without an off-setting increase in the growth of demand inside the Six Countries. Such considerations only underline all the more clearly the importance of the United Kingdom being at least as successful as other countries, in the next few years, in improving its export efficiency generally and in particular in holding down costs, and more successful if possible.

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STATISTICAL ANNEX

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Table I. GROSS DOMESTIC PRODUCT

£ *million*, 1958 *prices*.

	Gross domestic product at factor cost[1]	Final expenditure at market prices					Imports of goods and services
		Consumers' expenditure	Public authorities current expenditure	Gross fixed domestic capital formation	Increase in stocks and work in progress	Exports of goods and services	
1957	20,068	14,893	3,748	3,466	242	4,786	4,543
1958	20,030	15,271	3,707	3,493	100	4,686	4,585
1959	20,644	15,948	3,763	3,755	174	4,835	4,934
1960	21,558	16,534	3,850	4,127	592	5,093	5,578
1961	22,230	16,815	4,072	4,478	297	5,251	5,573
1962	22,186	17,043	4,162	4,400	96	5,317	5,667
Seasonally adjusted:							
1960 1st quarter	5,368	4,122	950	1,023	114	1,288	1,359
2nd quarter	5,367	4,122	959	1,010	174	1,264	1,398
3rd quarter	5,362	4,134	947	1,039	149	1,264	1,409
4th quarter	5,461	4,156	994	1,055	155	1,277	1,412
1961 1st quarter	5,525	4,204	1,011	1,095	120	1,320	1,442
2nd quarter	5,569	4,204	1,005	1,119	104	1,317	1,404
3rd quarter	5,593	4,209	1,025	1,155	36	1,312	1,368
4th quarter	5,543	4,198	1,031	1,109	37	1,302	1,359
1962 1st quarter	5,482	4,191	1,040	1,099	—4	1,297	1,377
2nd quarter	5,621	4,260	1,049	1,111	48	1,345	1,409
3rd quarter	5,560	4,264	1,054	1,109	50	1,337	1,453
4th quarter	5,523	4,328	1,019	1,081	2	1,338	1,428

1. Equals total final expenditure on goods and services at market prices *less* imports of goods and services, *less* taxes on expenditure *plus* subsidies.
Source: Monthly Digest of Statistics, June 1963.

Table II. GROSS FIXED DOMESTIC CAPITAL FORMATION

£ million, at 1958 prices.

	Total	Public sector[1]			Private sector			Manufacturing	Plant and machinery	Transport equipment	Buildings and works
		Total	Dwellings	Other	Total	Dwellings	Other				
1957	3,466	1,508	319	1,189	1,958	304	1,654	961	1,301	542	1,623
1958	3,493	1,474	269	1,205	2,019	322	1,697	922	1,320	550	1,623
1959	3,755	1,582	270	1,312	2,173	400	1,773	870	1,375	599	1,781
1960	4,127	1,649	278	1,371	2,478	484	1,994	1,016	1,467	673	1,987
1961	4,478	1,743	278	1,465	2,735	527	2,208	1,195	1,655	628	2,195
1962	4,400	1,844	314	1,530	2,556	508	2,048	1,059	1,587	525	2,288
Seasonally adjusted:											
1960 1st quarter	1,023	421	69	352	602	114	488	238	368	166	489
2nd quarter	1,010	395	71	324	615	122	493	244	349	168	493
3rd quarter	1,039	415	69	346	624	123	501	261	372	169	498
4th quarter	1,055	418	69	349	637	125	512	273	378	170	507
1961 1st quarter	1,095	427	66	361	668	128	540	286	403	167	525
2nd quarter	1,119	439	68	371	680	132	548	302	417	155	547
3rd quarter	1,155	450	72	378	705	133	572	308	425	165	565
4th quarter	1,109	427	72	355	682	134	548	299	410	141	557
1962 1st quarter	1,099	454	72	382	645	128	517	285	411	135	553
2nd quarter	1,111	461	80	381	650	128	522	274	401	138	572
3rd quarter	1,109	463	84	379	646	132	514	252	387	128	594
4th quarter	1,081	466	78	388	615	120	495	248	388	124	569

1. Including public corporations.

Source: Monthly Digest of Statistics, June 1963.

TABLE III. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	1959	1960	1961	1962	1961 3RD QTR.	1961 4TH QTR.	1962 1ST QTR.	1962 2ND QTR.	1962 3RD QTR.	1962 4TH QTR.	1963 1ST QTR.	MAR.	APR.	MAY
INDUSTRIAL PRODUCTION[1] (1958=100):														
All industries	105.2	112.5	113.9	115.0	115	113	114	115	116	115	113	116	117	118
Manufacturing	105.9	114.6	114.8	115.3	116	113	114	115	116	116	114	116	117	118
Engineering and allied industries	105	112	113	115	115	112	113	116	117	112	114	117	115	
Construction	106	111	120	121	123	120	119	123	125	116	101			
Mining	97	94	93	95	93	93	94	95	97	94	92	97	94	
MANPOWER[3]:														
Total civil employment[2] ('000)	23,197	23,628	23,925	24,098	...	23,972	23,844	24,098	24,152	24,044	23,697	23,697	23,789	23,872
Total industrial employment[1] (1958=100)	100.0	102.6	103.9	103.4	104.2	103.9	103.7	103.5	103.5	102.8	100.8	101.2		
Unemployment[1 4 5] ('000)	512	393	377	500	374	415	428	476	543	568	734	683	607	610
Unemployment as percentage of employees[6] (%)	2.17	1.62	1.52	2.03	1.50	1.67	1.78	1.88	2.14	2.33	3.29	2.92	2.58	
Unfilled vacancies[5] ('000)	224	314	320	214	324	282	248	233	202	174	168	177	190	189
Average weekly hours[7] (1958=100)	100.8	99.9	98.6	97.6	98.8	98.3	97.6	98.0	97.9	97.1	96.2	96.3		
Total weekly hours worked[7] (1958=100)	100.5	103.5	102.5	99.7	98.0	102.7	100.2	100.6	92.3	99.5	96.5	96.4		
ORDERS:														
Engineering industry (1958=100):														
New orders — home market	106	123	123	117	110	113	128	121	113	108	134	135	119	
— export	103	122	122	128	116	124	137	124	118	133	121	128	168	
Engineering and electrical industries, orders on hand (end of period) (*Dec.* 1958=100):														
— home market	101	118	120	114	126	120	121	120	120	114	119	119	120	
— exports	102	121	127	130	129	127	132	131	131	130	125	125	130	
Metal working machine tools, orders on hand (end of period) (£ *million*)	55.9	105.7	116.9	88.3	117.1	116.9	111.0	107.4	99.7	88.3				
CONSTRUCTION[1]:														
Industrial building, area approved (*mill. sq. ft.*)	58.8	88.9	48.6	31.9	10.3	11.5	8.6	8.2	7.4	7.7	7.3			
Housebuilding starts ('000)	325	317	320	333	79	74	82	79	86	87				
STOCKS[1 8]: (*Value of physical increase £, million, 1958 prices*):														
Manufacturing	73	520	230	42	46	45	—4	35	18	—7	63			
Distributive trades	64	85	40	36	—21	—12	3	—14	23	24	—11			
CONSUMPTION[1]:														
Value of retail sales (1957=100)	107	111	115	119	116	116	118	118	121	120	122	122	121	123
Volume of retail sales (1957=100)	105	108	111	111	111	111	111	111	112	112	112	113	112	114
Passenger cars, new registrations ('000 *quarterly rates*)	162	202	186	197	180	171	177	199	192	217	216	224		

1. Seasonally adjusted.
2. Great Britain only.
3. Annual figures relate to June, quarterly figures to end of period.
4. United Kingdom. wholly unemployed and temporarily stopped.
5. O.E.C.D. seasonal adjustment.
6. N.I.E.S.R. seasonally adjusted unemployment figures (Gt. Britain only) calculated as percentage of number of employees in May of each year.
7. Operatives in manufacturing.
8. For total stock movements see Annex Table 1.

Source: Monthly Digest of Statistics, O.E.C.D. General Statistics, N.I.E.S.R. Economic Review.

Table IV. INCOMES, COSTS, PRICES AND PRODUCTIVITY

	1959	1960	1961	1962	1961 3rd Qtr.	1961 4th Qtr.	1962 1st Qtr.	1962 2nd Qtr.	1962 3rd Qtr.	1962 4th Qtr.	1963 1st Qtr.	Feb.	Mar.	Apr.
Wages and profits:														
Weekly wage rates (31*st Jan.* 1956=100)	117.0	120.0	125.0	129.6	125.2	126.3	127.2	129.0	130.6	131.5	132.5	132.5	132.7	133.6
Hourly earnings[1] (1953=100)	142	154	164	170	...	164	...	167	...	170				
Income from employment[2] (1958=100)	104.7	112.4	121.2	126.7	122.3	123.0	124.8	126.1	127.8	128.1	126.8			
Profits of companies and public corporations[2] (1958=100)	111.0	125.9	123.2	126.0	122.5	119.2	119.5	127.4	128.6	128.7				
Unit costs[2] (1958=100):														
Income from employment per unit of output	100.1	102.3	108.2	111.7	108.7	110.4	111.5	110.7	111.4	113.1	114.1			
Property income per unit of output	104.2	109.6	107.6	108.7	106.5	106.6	106.7	108.8	108.6	110.6				
Prices:														
Prices of basic materials and fuel used in non-food manufacturing industry (1954=100)	103.4	104.5	104.4	103.0	104.6	103.4	104.0	103.3	102.2	102.5	103.5	103.3	103.7	103.9
Prices of manufactured products[2] 1954=100)	114.3	116.0	119.1	120.6	119.4	119.6	120.2	120.3	120.8	121.1	121.1	121.2	121.2	121.3
Building costs (1954=100)	113	114	118	122	117	120	121	122	123	123	125		125	
Retail prices, all items (Jan. 1956=100)	109.6	110.7	114.5	119.3	115.3	116.6	117.7	120.2	119.7	119.6	121.4	121.7	121.8	122.2
Import prices (1954=100)	98	99	97	96	96	96	96	96	95	96	97	97	98	98
Export prices (1954=100)	109	111	112	113	112	112	113	113	113	114	115	115	115	115
Terms of trade (1954=100)	90	89	86	85	85	85	85	85	84	84	84	84	85	85
Productivity[2] (1958=100):														
Output per person employed	104	108	109	110	110	108	108	111	111	110				
Output per manhour in manufacturing	105	110	111	113	111	109	111	113	114	113		115		

1. Annual figures are for October; others for April or October of period.
2. Seasonally adjusted.
3. Home sales.

Source: Monthly Digest of Statistics, O.E.C.D. General Statistics, and N.I.E.S.R. Economic Review.

Table V. MONEY AND BANKING

	1959	1960	1961	1962	1961 3rd qtr.	1961 4th qtr.	1962 1st qtr.	1962 2nd qtr.	1962 3rd qtr.	1962 4th qtr.	1963 1st qtr.	April	May
Bank rate (end of period) (*per cent*)	4	5	6	4 1/2	7	6	5	4 1/2	4 1/2	4 1/2	4	4	4
Treasury Bill rate of discount (*per cent*)	3.38	4.89	5.14	4.17	6.18	5.55	5.18	3.98	3.79	3.71	3.51	3.71	
Average yield of 2 1/2 per cent Consols (*per cent*)	4.82	5.42	6.20	5.98	6.52	6.46	6.33	6.18	5.82	5.66	5.80	5.68	5.50
Currency circulation with the public (£ *million*)	1,969	2,062	2,151	2,160	2,186	2,186	2,159	2,158	2,162	2,166	2,155	2,201	2,193
New capital issues (gross) (£ *million*)	511.6	573.5	692.5	630.0	254.4	128.1	111.4	156.0	223.9	138.7	148.5	40.3	36.2
Hire purchase debt outstanding (end of period) (£*million*)	849	935	927	887	953	927	888	887	890	887	874	881	
New hire purchase credit extended (during period) (£ *million*	917	820	798	738	198	167	167	197	193	181	168		
London clearing banks:[1]													
Current accounts (£ *million*)	4,064	4,207	4,157	4,186	4,095	4,166	4,041	4,180	4,175	4,385	4,276	4,339	4,369
Time deposits (£ *million*)	2,431	2,515	2,638	2,747	2,663	2,711	2,726	2,726	2,755	2,783	2,754	2,725	2,732
Other deposits (£ *million*)	441	513	600	678	601	678	644	664	661	735	661	775	669
Total liquid assets (£ *million*)	2,277	2,299	2,437	2,546	2,522	2,666	2,416	2,530	2,559	2,684	2,346	2,391	2,384
Total liquid assets (% *of deposits*)	32.8	31.8	33.0	33.5	34.3	35.3	32.6	33.4	33.7	34.0	30.5	30.5	30.7
Investments (£ *million*)	1,836	1,407	1,122	1,194	1,048	1,119	1,096	1,187	1,234	1,315	1,234	1,204	1,206
Investments (% *of deposits*)	26.5	19.5	15.2	15.7	14.3	14.8	14.8	15.7	16.3	16.6	16.0	15.4	15.5
of which Government securities (£ *million*)	1,718	1,277	1,009	1,082	936	1,007	984	1,075	1,123	1,204	1,121	1,088	1,091
Advances (£ *million*)	2,522	3,123	3,357	3,408	3,318	3,209	3,375	3,401	3,428	3,506	3,839	3,852	3,897
Advances (% *of deposits*)	36.4	43.2	45.4	44.8	45.1	42.5	45.5	44.9	45.1	44.4	49.9	49.1	50.2

1. Average of last month of quarter or month; annual figures are monthly averages.

Source: Financial Statistics.

Table VI. FOREIGN TRADE

£ million, quarterly totals or rates, seasonally adjusted.

	1959	1960	1961	1962	1961				1962				1963
					1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	1st Qtr.
Imports:													
Total	996	1,134	1,098	1,122	1,149	1,098	1,074	1,077	1,095	1,119	1,155	1,122	1,125
By type — food, drink and tobacco	381	384	372	393	378	378	369	366	387	411	405	372	378
— crude materials, oils and fats	234	270	252	231	273	258	240	237	234	225	231	237	234
— fuels	117	120	120	135	135	114	114	120	129	123	144	141	144
— semi-processed manufactures	171	231	213	213	228	213	210	210	198	210	225	217	213
— finished manufactures	93	129	141	150	135	135	141	144	147	150	150	155	156
By area — Sterling Area	360	378	369	375	363	375	372	360	357	363	402	378	378
— North America	171	234	207	207	222	201	198	210	204	207	213	204	204
— Western Europe	279	330	336	345	351	336	324	330	336	354	339	345	342
— Rest of World	186	190	186	195	213	186	180	177	198	195	199	195	201
Exports:													
Total	834	888	921	948	927	915	927	912	918	957	960	954	981
By type — machinery and transport equipment	360	384	405	414	405	402	417	399	405	420	420	420	450
— other manufactures	261	279	285	288	291	285	279	279	279	297	291	288	282
— other	213	225	231	246	231	228	231	234	234	240	249	246	249
By area — Sterling Area	336	357	351	336	378	348	351	324	324	342	336	342	357
— North America	141	135	126	129	120	126	129	132	135	129	132	126	117
— EEC	117	129	153	180	144	150	156	165	165	180	189	186	195
— EFTA	96	108	120	129	114	120	123	126	126	129	129	132	132
— Rest of World	142	159	171	174	171	171	168	165	168	177	174	168	180

Source: Report on Overseas Trade.

Table VII. BALANCE OF PAYMENTS

£ million.

	1957	1958	1959	1960	1961	1962	1961 1st Qtr.	1961 2nd Qtr.	1961 3rd Qtr.	1961 4th Qtr.	1962 1st Qtr.	1962 2nd Qtr.	1962 3rd Qtr.	1962 4th Qtr.	1963 1st Qtr.
Imports, f.o.b.	3,538	3,360	3,617	4,106	4,013	4,059	1,056	1.028	948	981	1,014	1,015	998	1,032	1,039
Exports and reexports, f.o.b.	3,509	3,392	3,507	3,710	3,865	3,988	983	982	914	986	982	1,035	941	1,030	1,050
Visible balance	— 29	+ 32	—110	—396	—148	— 71	— 73	— 46	— 34	+ 5	— 32	+ 20	— 57	— 2	+11
— seasonally adjusted							— 79	— 42	— 7	— 20	— 19	— 3	— 41	— 8	+14
Invisibles (net)	+245	+297	+224	+ 88	+ 76	+138	+ 37	+ 27	+ 26	— 14	+ 51	+ 61	+ 19	+ 7	+45
— seasonally adjusted							+ 26	+ 12	+ 19	+ 19	+ 38	+ 34	+ 22	+44	+45
— of which, Government	—147	—224	—233	—287	—339	—371	— 86	— 89	— 86	— 78	— 99	— 93	— 88	—91	—99
Other[1]	+392	+521	+457	+375	+415	+509	+123	+116	+112	+ 64	+150	+154	+107	+98	+144
Current balance	+216	+329	+114	—308	— 72	+ 67	— 36	— 19	— 8	— 9	+ 19	+ 81	— 38	+ 5	+56
— seasonally adjusted							— 53	— 30	+ 12	— 1	+ 19	+ 31	— 19	+36	+59
Long-term capital account	—106	—181	—485	—186	+ 44	— 92	+ 45	— 61	— 6	+ 66	+ 28	— 43	— 23	—54	—73
— official	+ 66	— 49	—353	—102	— 42	—105	— 23	+ 11	+ 9	— 39	— 11	— 16	— 26	—52	...
— private	—172	—132	—132	— 84	+ 86	+ 13	+ 68	— 72	— 15	+105	+ 39	— 27	+ 3	— 2	...
Current and long-term capital balance	+110	+148	—371	—494	— 28	— 25	+ 9	— 80	— 14	+ 57	+ 47	+ 38	— 61	—49	—17
Balancing item	+ 97	+ 54	— 34	+304	+ 48	+128	— 10	+ 23	+ 56	— 21	+ 80	— 15	+ 87	—24	+24
Monetary movements	—207	—202	+405	+190	— 20	—103	+ 1	+ 57	— 42	— 36	—127	— 23	— 26	+73	— 7
— miscellaneous capital (net)	— 21	+ 24	+ 50	+147	— 61	+112	+ 91	— 13	— 95	— 44	+123	— 29	+ 8	+10	+86
— gold and convertible currency reserves	— 13	—284	+119	—177	— 31	+183	+ 75	+ 89	—279	+ 84	— 48	+ 7	+229	— 5	— 3
— overseas sterling holdings	—173	+ 58	+236	+220	+ 72	—398	—165	— 19	+332	— 76	—202	— 1	—263	+68	—90
— international organisations	— 24	— 22	+ 82	—156	+409	—353	+ 4	— 1	+538	—132	— 87	— 86	—195	+15	+ 2
— other official	—131	—117	+ 98	+ 38	+ 9	—106	+ 25	+ 79	—118	+ 23	— 88	+ 43	— 51	—10	— 7
— private	— 18	+197	+ 56	+338	—346	+ 61	—194	— 97	— 88	+ 33	— 27	+ 42	— 17	+63	—85

1. Including some official transactions, particularly in respect of interest, profits and dividends.

Source: Economic Report 1962.

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